

Creditors and Debt Collectors

Keep in mind that your creditors want to work with you before you become delinquent on your bills, so call your creditors before you miss a payment. Waiting until your account is already delinquent will hurt your credibility. The creditor may not be as willing to work with you and may turn your account over to a debt collector, which can be an unpleasant experience.

Creditors are also quicker than ever to report late payments to collection agencies because more and more people are filing for bankruptcy and walking away from their debts. If you make arrangements with the creditors ahead of time, they may agree not to report your delinquency to the credit bureau.

If you talk to a creditor over the phone, take good notes, including the name of the person you spoke to, the date and time you talked to her or him, and what arrangements were made. It's a good idea to then follow up with a letter outlining the key elements of your discussion, and to ask that they send you something in writing as well. If you're not successful in getting the creditor to work with you, hang up and try calling again. Sometimes one customer service representative or credit manager will be more helpful or flexible than another.



ESSENTIAL

When negotiating with creditors, don't agree to a plan that you're not sure you can stick to. If you make promises and then can't keep them, the chances of the creditor ever being willing to work with you again are slim. You'll need to do a budget and calculate how much money you can squeeze out of it each month to apply to the account in question before committing to a payment plan.
